MFANO BANK

A fictional bank for a portfolio project

INTERNAL CIRCULAR

SUPERSEDED: do not use. See the current version on the intranet.

Business account opening

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Owner	Operations
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Classification	Internal

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This document is fictional. It does not describe the procedures of any real bank.

Document control

What changed in version 1: First issue of this circular.

Version history

Version	Effective date	Change
1	2024-07-01	First issue

Approval and distribution

Approved by the Head of Branch Operations. Owned by Operations. Distributed to all branches through the intranet. Printed copies are not controlled; always check the intranet for the current version.

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1. Purpose

This circular sets out how branch staff open current accounts for businesses.

2. Scope

This circular covers sole proprietors, partnerships and limited companies.

3. Definitions

- **Signatory:** a person authorised to operate the account.
- **TIN certificate:** the certificate showing the business's tax identification number.

4. Roles and responsibilities

- **Customer service or relationship officer:** checks documents, verifies signatories, screens the customer and opens the account.
- **Compliance:** carries out enhanced due diligence for high-risk customers.

5. Procedure

5.1 Required documents [MANDATORY CONTROL]

Every business account needs a valid business licence, a tax identification number (TIN) certificate and the original identity documents of the owners and signatories. Partnerships also provide the partnership deed. Companies also provide the certificate of incorporation, the memorandum and articles of association and a board resolution to open the account.

5.2 Verify owners and signatories [MANDATORY CONTROL]

Verify the original identity document of every owner and signatory and take their specimen signatures.

5.3 Screen and risk-rate the customer [MANDATORY CONTROL]

Screen the business and every owner and signatory against the sanctions and watch lists, then complete the customer risk rating.

5.4 Enhanced due diligence [MANDATORY CONTROL]

If the risk rating is high, send the file to Compliance for enhanced due diligence. Do not open the account until Compliance approves.

5.5 Open the account

Open the account and record the mandate in core banking. Submit the file to back office QA.

6. Exceptions and escalation

- **Missing document:** do not open the account until all documents are provided.

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7. Records and retention

Account opening files: for the life of the account plus 10 years. Records are kept in the branch file room or the document management system and destroyed only under the bank's records retention schedule. Records that are part of an open complaint, dispute, audit or investigation are kept until it is closed.

8. Monitoring and quality assurance

Back office quality assurance reviews a sample of files every month against this circular and reports exceptions to the branch manager and to Operations. Repeated exceptions at a branch are reported to the Head of Branch Operations. Internal audit may review compliance with this circular at any time.

9. Related documents

- CIR-ACC-10 Individual account opening and KYC

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Appendix A: Frequently asked questions

Q1. Does a sole proprietor need a business licence?

Yes. Every business account needs a valid business licence.

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